

Indian Railway Finance Corporation Ltd (IRFC)

ROE	13.7%
ROCE	5.73%
CFO Quality	High Quality
Capital Allocation	Shareholder Returns

Strengths

- Operating profit margin above 25% indicates strong pricing power and cost discipline.
- Sustainable dividend payout backed by positive free cash flow.
- Revenue growing slower than profits shows improving operating leverage and scale benefits.

Risks

- Debt-to-equity ratio of 8.38 is elevated and warrants monitoring.
- Interest coverage ratio below 1.5x indicates risk in meeting debt obligations.
- Total debt exceeding 3 times operating cash flow limits financial flexibility.